commodity prices and their volatility has been an issue of international concern, even though there has been no clear consensus on the cause-effect relationship[20].

7. **Fiscal Resources:** Often, a case is made for the virtues of a *minimalist state*[21] and the need to disengage from a number of activities. The actual facts speak otherwise. India's general government expenditure in relation to GDP is actually lower even in comparison to many market economies by a factor of at least half. More importantly, the ratio of general government revenues to GDP at 17.6 per cent[22] is one of the lowest in emerging economies and certainly very low in comparision to the advanced economies. Therefore, even if fiscal consolidation is needed, the priority has to be on raising resources. Recent developments in the developed economies reveal how important it is to maintain the revenue base and keep government finances in shape. The increased exposure to the external economy will make India's fiscal strength based on a large revenue base even more critical.

8. **FDI Diplomacy:** Many of the advanced economies, with deep technological strengths, are now *aging societies* and need to invest overseas and rely on factor incomes. The stage at which India is placed, the need for sustained investment has already been stressed[23]. There is an inherent complementary relationship between India's requirement for more 'real' investment and the need for some of the advanced economies, including some of the Asian industrialised economies, to invest in production facilities in friendly countries overseas in order to diversify their supply chains.

9. **Remittances:** are an important source of financial flows and, as per World Bank estimates, remittance flows into developing countries in 2011 were to the tune of US $ 351 billion. Remittance flows into India are estimated to be of the order of US $ 58 billion. In 2010, remittances into the country accounted for *3 per cent of GDP.* Reasons[24] for such high inflows could be:

   (i) the higher oil prices that helped the Gulf countries and other oil exporters to earn higher profits/income (where a large number